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— FOR LAW FIRM OWNERS

How a law firm MSO deal works

Keep practicing law. Hand off the rest.

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THE PROBLEM

3.4 hours

The average lawyer's billable time per day in 2026, about 42% of the workday. The rest goes to marketing, intake, hiring, software and the lease.

An MSO is built to take the rest.

Source: Clio, 2026 Legal Trends Report, released October 26, 2026.

THE STRUCTURE

Two companies

Law firm

Owned by its lawyers

- Clients and cases
- Every legal decision
- Attorneys
- Fee revenue

Flat or cost-plus fee →

Services company

Investors can own it

- Marketing and intake
- Technology
- Staff, HR, finance
- Office leases

← Staff and systems

Illustrative. Rule 5.4 keeps law firms lawyer-owned in most states. Sources: Sidley 2025; L.E.K. 2026.

WHAT YOU KEEP

The practice stays yours

1. **100% of the law firm**
   Lawyers keep owning the firm and every legal decision.

2. **Your clients and your attorneys**
   At Rafi in Phoenix, about 250 staff moved to the services company while 26 attorneys stayed in the law firm.

3. **Your role**
   Stay a few years, or long term as a partner. It's negotiated up front.

Sources: Sidley Austin, Nov 2025; ABC15 Arizona on Rafi's $125M deal, Mar 2026.

WHAT YOU GET

What owners are saying yes to

1. **Cash at close**
   One 2026 guide illustrates 70% of the price at closing.

2. **A second payday**
   The other 30% rolls into equity in the platform, which can grow as it adds firms.

3. **Growth capital**
   Money for marketing and intake a single office couldn't fund alone.

4. **Someone else runs the business**
   More of your day goes to practicing law.

Sources: Private Equity Legal Alliance 2026; L.E.K. 2026.

IT'S ALREADY HAPPENING

36 deals

closed by Holland & Knight alone in the first three quarters of 2026. Only 16 were personal injury.

Orion Legal
Dudley DeBosier (Jan 2026), then Hughes & Coleman (May 2026)

Wood Smith Henning & Berman
Insurance defense firm, investment from Charlesbank (Oct 2026)

Sources: Law360 via Holland & Knight, Oct 19, 2026; Business Wire, Jan 22, 2026.

YOUR STATE MATTERS

Where you practice changes the deal

Colorado, Illinois, Texas

No MSO fees tied to firm revenue or profits. Fixed or cost-plus fees work.

California

AB 931 bars sharing contingency fees with out-of-state ABS firms until 2030

Arizona

Licenses alternative business structures, so investors can own part of a firm

Most other states

Standard Rule 1.17 rules; MSOs on a fixed or cost-plus fee. Check with ethics counsel.

Sources: Holland & Knight on CO HB26-1421, IL HB 5487 and TX Opinion 706; Bloomberg Law on CA AB 931. Not legal advice.

— NEXT STEP

See if your firm fits

The law firm valuation calculator shows your range, the buyer most likely to pay it, and your state's rules, in about 90 seconds. Free and confidential.

sourcecodeals.com → Free tools

SourceCo is paid by buyers when a deal closes; owners pay nothing.